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Our ref OP/PEN/0784
Your ref HA/1002.1/PN
Date 24 September 2026

By email and post

Dear Ms Ashcombe

Penwick Property Limited and Brightwell Bakeries Limited – Unit 4, Weir Lane Trading Estate, Marlbridge WX2 6DN – draft lease – subject to contract

Thank you for your amendments to our draft lease, which you sent on 18 September 2026. I have taken my client's instructions. It accepts some of your changes as they stand and others on conditions, as follows.

1. **Rent and rent-free period (clauses 3.1 and 3.2).** Agreed: £45,000 a year plus VAT, with no rent for the first three months of the term.
2. **Interest (clause 3.4).** Agreed: interest runs once rent is fourteen days late.
3. **Rent review (clause 3.3).** My client accepts a cap of 10% above the rent then payable, but only if the reviewed rent can never be lower than the rent then payable.
4. **Repair (clause 4.1).** My client accepts the exception for fair wear and tear, but only if a photographic schedule of condition is made before the lease is signed, at your client's cost, and the repairing obligation goes no further than that schedule.
5. **Use (clause 4.2).** Agreed that your client may use the premises as a café, serving food and drink to customers on the premises, subject to any planning permission that use needs, which is for your client to obtain.
6. **Costs (clause 4.5).** Agreed: your client pays the landlord's reasonable and proper costs of an application for consent that the landlord grants, and no more.
7. **Break (clause 6.2).** Agreed that your client may end the lease on the fifth anniversary of the term start, on at least six months' notice, if it gives vacant possession and has paid the rent.
8. **Rent deposit.** My client asks for a deposit of one quarter's rent, which is £11,250 plus VAT, so £13,500, held for three years and then returned if no rent is owing.
9. **Service charge.** The draft needs a clause under which your client pays 8.5% of the estate's costs. Harrow & Lund will send the estate's budget for the year from 1 October 2026.

Please send me an amended draft that reflects these points. This letter is not an offer capable of acceptance, and neither party is bound until a lease has been signed and delivered.

Yours sincerely

Owen Pask
Partner
Cardew Hollis LLP

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